

Continuing Problem**Chapter 3 - Instruction #1**

The unadjusted trial balance for PS Music as of July 31, 20Y5 is as follows:

PS Music
Unadjusted Trial Balance
July 31, 20Y5

	Account No.	Debit Balances	Credit Balances
Cash	11	9,945	
Accounts Receivable	12	2,750	
Supplies	14	1,020	
Prepaid Insurance	15	2,700	
Office Equipment	17	7,500	
Accounts Payable	21		8,350
Unearned Revenue	23		7,200
Common Stock	31		9,000
Dividends	33	1,750	
Fees Earned	41		16,200
Wages Expense	50	2,800	
Office Rent Expense	51	2,550	
Equipment Rent Expense	52	1,375	
Utilities Expense	53	1,215	
Music Expense	54	3,610	
Advertising Expense	55	1,500	
Supplies Expense	56	180	
Miscellaneous Expense	59	1,855	
		<u>40,750</u>	<u>40,750</u>

Based on those balances and the additional data below, prepare adjusting journal entries. Include Posting References, using the account numbers in your spreadsheet. You will need the following additional accounts:

Account # Account Name

18	Accumulated Depreciation-Office Equipment
22	Wages Payable
57	Insurance Expense
58	Depreciation Expense

The data needed to determine adjustments are as follows: If an amount box does not require an entry, leave it blank.

July 31: During July, PS Music provided guest disc jockeys for KXMD for a total of 115 hours. The contract requires PS Music to provide a guest disc jockey for 80 hours per month for a monthly fee of \$3,600, which PS Music has already received payment for. Any additional hours beyond 80 will be billed to KXMD at \$40 per hour.

Account		Post.	Ref.	Debit	Credit
<u>Accounts Receivable</u> ▼	✓	✓		✓	✓
		12		1,400	
<u>Fees Earned</u> ▼	✓	✓		✓	✓
		41			1,400

July 31: Supplies on hand at July 31, \$275.

Account		Post.	Ref.	Debit	Credit
<u>Supplies Expense</u> ▼	✓	✓		✓	✓
		56		745	
<u>Supplies</u> ▼	✓	✓		✓	✓
		14			745

July 31: The balance of the prepaid insurance account relates to the following July 1, 20Y5 transaction: "Paid a premium of \$2,700 for a comprehensive insurance policy covering liability, theft, and fire. The policy covers a one-year period."

Account		Post.	Ref.	Debit	Credit
<u>Insurance Expense</u> ▼	✓	✓		✓	✓
		57		225	
<u>Prepaid Insurance</u> ▼	✓	✓		✓	✓
		15			225

July 31: Depreciation of the office equipment is \$50.

Account		Post. Ref.	Debit	Credit
<u>Depreciation Expense</u> ✓	✓	✓	✓	✓
		58	50	
<u>Accumulated Depreciation-Office Equipment</u> ✓	✓	✓	✓	✓
		18		50

July 31: The balance of the unearned revenue account relates to the contract between PS Music and KXMD, described in the July 3, 20Y5 transaction, which included the following: "On behalf of PS Music, Peyton signed a contract with a local radio station, KXMD, to provide guest spots for the next three months. The contract requires PS Music to provide a guest disc jockey for 80 hours per month for a monthly fee of \$3,600." In accordance with the contract, Peyton received \$7,200 from KXMD as an advance payment for the first two months.

Account		Post. Ref.	Debit	Credit
<u>Unearned Revenue</u> ✓	✓	✓	✓	✓
		23	3,600	
<u>Fees Earned</u> ✓	✓	✓	✓	✓
		41		3,600

July 31: Accrued wages as of July 31 were \$140.

Account		Post. Ref.	Debit	Credit
<u>Wages Expense</u> ✓	✓	✓	✓	✓
		50	140	
<u>Wages Payable</u> ✓	✓	✓	✓	✓
		22		140